

Washington Clean Energy Coalition's Recommendations for Changes in PSE's Clean Energy Implementation Plan (CEIP)

Washington State's Clean Energy Transformation Act (CETA) sets clear and ambitious targets to permanently reduce Green House Gas (GHG) emissions from the state's electricity sector. The Washington Clean Energy Coalition believes there are two significant opportunities for Washington's largest electric utility, Puget Sound Energy (PSE), to improve its Plan to reduce emissions, improve reliability, and reduce costs.

1) PSE should move more rapidly to reduce demand and convert to clean energy.

During the 2022 to 2025 CEIP period, PSE should reduce the use of fossil fuel gas in electricity generation by:

- a) Reducing demand for electricity with more aggressive programs such as Demand Response and Time Varying Rates;
- b) Increasing acquisition of wind, solar, storage, and distributed energy resources.

More aggressive demand reduction would avoid the need to build additional capacity to cover peak loads (such as a new gas-powered peaker plant). PSE should cover much of its base load with renewable resources, and then use existing gas plants to serve occasional peak needs.

Faster acquisition of renewable resources will help protect against potential price increases. Gas prices are volatile, have been rising recently, and are likely to remain high. Renewables are cheaper and less vulnerable to price swings than gas, which is affected by supply limitations and political instability.

2) The CEIP should include climate change in its projections.

- a) The forecasting models that PSE used to develop the CEIP do not account for climate change.
- b) PSE's models rely on temperature data going back 90 years. Recent decades have been significantly warmer. Consequently, PSE's CEIP would invest in energy resources designed to serve cooler winter and summer conditions than we will actually experience.
- c) While peak demand for electricity is likely to continue its decline during warmer winters, summer peak demand is likely to rise. PSE should accelerate acquisition of local solar generation and battery capacity,

which could reduce stress on distribution lines during a heat dome event and thereby strengthen the resilience of the electric grid.

Actions on PSE's CEIP to recommend to the Utilities and Transportation Commission

- 1) To reduce peak demand, require PSE to expedite and expand their Demand Response and Time Varying Rates programs.
- 2) To reduce price volatility and GHG emissions, require PSE to accelerate acquisition of new renewable clean energy resources.
- 3) To increase the resiliency of the electric system, require PSE to increase programs that encourage local solar and battery installations.
- 4) To reflect future capacity needs more accurately, require PSE to revise temperature modeling to reflect the changing climate and then resubmit their CEIP.

Please submit written comments to WA-UTC on PSE's CEIP by 5 p.m. Wednesday, March 2, 2022

Submit in pdf format at <http://www.utc.wa.gov/e-filing>

If unable to submit via the portal, you may submit your comment by email to records@utc.wa.gov.

Written comments (both electronic and hard copies) should be addressed to: **Amanda Maxwell Executive Director and Secretary Washington Utilities and Transportation Commission** P.O. Box 47250 Olympia, WA 98504-7250

Comment submissions should include:

- the docket number (Docket UE-210795)
- the commenter's name
- The title and date of the comments

The Washington Clean Energy Coalition is a coalition of environmental and civic organizations that have participated for many years in the development of PSE's Integrated Resource Plans and currently the Clean Energy Implementation Plan. Participating organizations include Sierra Club, Northwest Energy Coalition, Vashon Climate Action Group, People for Climate Action, Climate Action Bainbridge, and Union of Concerned Scientists.